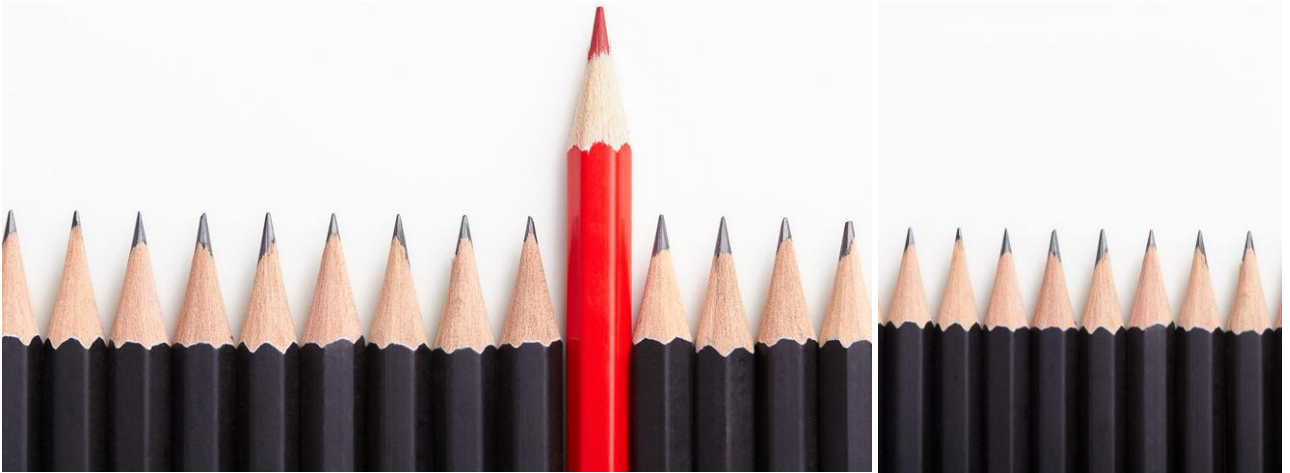




The Lean Canvas

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Objectives

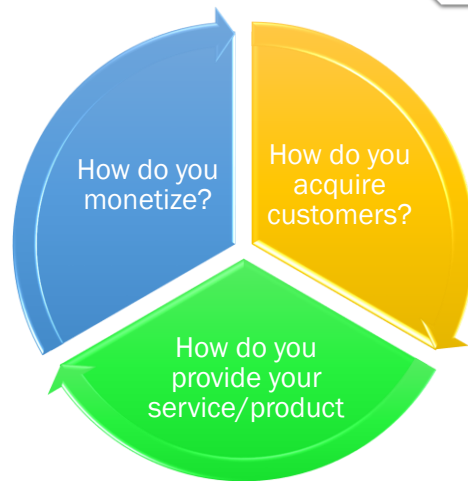
- At the end of class, you should be able to:
 - Describe the segments of a Lean model canvas (LC)
 - Differentiate when to use a BMC versus a LC
 - Complete the LC based on case study information.

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Business Model



- A business model can be defined as the rationale of how an organization creates, delivers and captures value.
 - *Business model = Create Value + Deliver Value + Capture Value*
- There is no one universally right business model, as it depends on your specific situation
- Your business model is how your business strategy plays out.



Lean Model Canvas



The lean canvas. It overlaps the business model canvas in four of the nine components: customer segments, value proposition, revenue streams, and cost structure. Rather than addressing key partners, key activities, and key resources, the lean canvas helps you tackle problems, solutions, unfair advantage and key metrics instead.

Lean Model Canvas



PROBLEM List your customers top 3 problems	SOLUTION Outline possible solution for each problem	UNIQUE VALUE PROPOSITION Single, clear, compelling that turns an unaware visitor into an interested prospect	UNFAIR ADVANTAGE Something that can't be easily copied or bought	CUSTOMER SEGMENTS List your target customers and users
EXISTING ALTERNATIVES List how these problems are solved today	KEY METRICS List key numbers telling how your business is doing today	HIGH LEVEL CONCEPT List your X for Y analogy (e.g. YouTube = Flickr for videos)	CHANNELS List your path to customers	EARLY ADOPTERS List characteristics of your ideal customer
COST STRUCTURE List your fixed and variable costs		REVENUE STREAMS List your sources of revenue		

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BM Building blocks Explained- Lean Canvas (LC)



1. Customer Segments
 - Early adopter
2. Problem (s)
 - Existing alternatives
3. Unique Value Propositions
 - High level concept
4. Solution
5. Channels
6. Unfair Advantage
7. Revenue Streams
8. Metrics
9. Cost structure

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LC Building blocks Explained



1. The Customer Segments Building Block

- The 'Customer Segments' section also contains a piece with the **Early Adopters**, or your most potential customers...These are the people you are going to approach first to validate your assumptions.
- 2. **Problem**-Without a problem worth solving, you have no product or service. For each key customer segment, come up with one to three high priority problems.
 - The 'Problem' section also contains a section with **existing alternatives**, this is meant to write down your competitors that solve the same problem.
 - Note, this does not necessarily mean your direct competitors, but really companies that focus on the same problem.
- 3. **Solution**
 - You will not find the solution to your problem in your first attempt. The solution is also not in your office, you will find it with the customer. Get Out Of The Building, or in other words, engage with the customer and validate different solutions.

LC Building blocks Explained



- 4. **The Unique Value Proposition** is the reason why customers turn to one company over another. It solves a customer problem or satisfies a customer need. Each Value Proposition consists of a selected bundle of products and/or services that caters to the requirements of a specific Customer Segment.
 - The "what" that makes customers turn to you, over your competitors? Which of their problems are you best at solving?
 - Some popular questions to ask while determining your Unique Value Proposition are:
 - Which specific customer pain point are you trying to solve?
 - What job are you helping customers get done?
 - How does your UVP eliminate customer pain points?
 - What products or services do you provide that answer this specific pain point?
 - **High Level Concept** - write down briefly and clearly what your product or service represents. This is how your team or customers name your company to their friends, for example as "The Uber for boats"

BM Building blocks Explained- BMC



5. **Channels.**–The Channels Building Block describes how a company communicates with and reaches its Customer Segments to deliver a Value Proposition.
 - Communication, distribution, and sales Channels comprise a company's interface with customers.
 - Channels serve several functions, including:
 - i. Raising awareness among customers about a company's products and services
 - ii. Helping customers evaluate a company's Value Proposition
 - iii. Allowing customers to purchase specific products and services
 - iv. Delivering a Value Proposition to customers
 - v. Providing post-purchase customer support
 - Finding the right mix of Channels to satisfy how customers want to be reached is crucial in bringing a Value Proposition to market
 - Chose between direct Channels and indirect ones
 - Chose between owned Channels and partner Channels.

BM Building blocks Explained- BMC



5. **Continue.....Channels.**
 - **Owned Channels** can be direct, such as an in-house sales force or a Web site, or they can be indirect, such as retail stores owned or operated by the organization.
 - Owned Channels and particularly direct ones have higher margins but can be costly to put in place and to operate.
 - **Partner Channels** are indirect and span a whole range of options, such as wholesale distribution, retail, or partner-owned Web sites.
 - Partner Channels lead to lower margins, but they allow an organization to expand its reach and benefit from partner strengths

BM Building blocks Explained- BMC



6. Unfair Advantage

- The Unfair Advantage is about a specific part of your company, product or service that your competitors can't just get or copy.
 - This could be exclusive access to data, a community, authority, experience or perhaps a particular feature.
 - Do you have patents? Or some form of IP?

BM Building blocks Explained- BMC



7. **Revenue stream building** block represents the cash a company generates from each Customer Segment (costs must be subtracted from revenues to create earnings)
 - If customers comprise the heart of a business model, Revenue Streams are its arteries.
- A company must ask itself, For what value is each Customer Segment truly willing to pay?
- A company should consider the best way to capture the value from the customer.
 - There are several revenue models, each with its own pros and cons.
 - It is possible for a business to use several revenue models and to even change its revenue model.
 - Examples of Revenue Models;
 - The Freemium Model
 - The Usage-Based Model (prepaid)
 - Subscription
 - Licensing
 - The Up-Front Charge Model

BM Building blocks Explained- Lean Canvas



8. **Key Metrics**-Every business has certain metrics that provide insight into how it is performing.
- A Key Metric could be daily visitors to your site, the number of company emails opened by consumers per hour or the monthly sales of a specific feature

BM Building blocks Explained- BMC



9. **The Cost Structure describes** all costs incurred to operate a business model.
- This building block describes the most important costs incurred while operating under a particular business model. Creating and delivering value, maintaining Customer Relationships, and generating revenue all incur costs. Such costs can be calculated relatively easily after defining Key Resources, Key Activities, and Key Partnerships.
 - Two broad classes of business model cost structures
 - **Cost-driven**
 - Cost-driven business models focus on minimizing costs wherever possible. This approach aims at creating and maintaining the leanest possible Cost Structure, using low price Value Propositions, maximum automation, and extensive outsourcing.
 - **Value-driven**
 - Some companies are less concerned with the cost implications of a particular business model design, and instead focus on value creation. Premium Value Propositions and a high degree of personalized service usually characterize value-driven business models.

Lean Canvas Example

